GROWING SMALL ACCOUNTS

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There is not one way, or even one best way to grow a small account. The differences in traders, risk profile, personality, strategies are far too vast to say one method is best. Some methods will favour slower growth with shallower drawdowns, some will favour more risk-taking growth with deeper drawdowns. Drawing from real world experiences in growing small accounts, these are some of the things I've learned.

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In a perfect world, we'd trade a small account the same way as a bigger one, in order to learn the best discipline, compound gains over time and eventually be able to linearly apply the same principles to a large account when we acquire one. In the real world, growing and trading a small account is about as different as the number of zeros from a larger account.

There are some similarities of course, and we should aim to prioritize discipline and risk management above all, but we need to accept human nature a little bit as well in order to be successful in growing a small account.

1. How account sizes determine your strategy

First let's start with some of the differences. It's very easy to diversify a large account. With high bond rates, one million invested can earn 40-50 thousand dollars per year covering a good portion of expenses, or a mortgage just with interest alone. Ten thousand dollars in the same bond will only net you 400 dollars per year, which hardly feels like it makes a dent in expenses, or really grows your account.

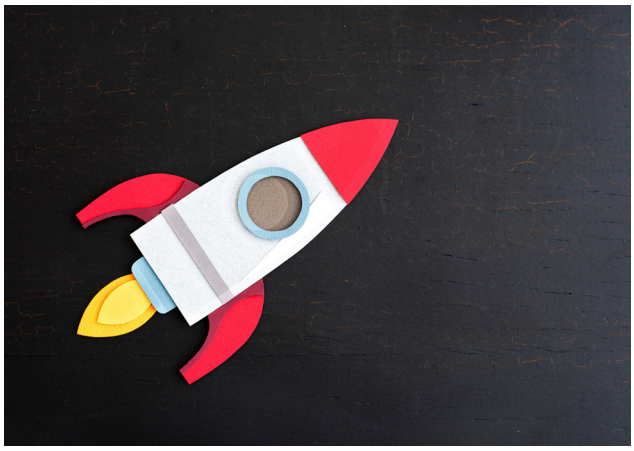
A second difference is how easily one can write off risk. In larger accounts, you can easily take 0.5-1% of the account, or even more depending on your account size and put it into lotto plays and riskier investments, without much concern. The idea would be that some of them turn into 400-1000% gains and pay for the ones that don't play out. With a larger account, even these small risks can net big returns. But taking that same 1% on a small account, still won't have that same impact.

2. Finding a sweet spot

The goal for a small account then, is to find the sweet spot of medium sized gains, compounded over time. This serves four purposes. The first is that it stops us from constantly overtrading day to day, exposing the same capital to paper cuts of risk over and over again. The second is that it gives us the opportunity to move the same capital around, looking for the meat of a trade, then recycling into another trade for similar effect and compounding. The third, and most important reason for this, is that it gives us the time to also make money outside the markets, so that we can grow our account without needing to withdraw and being able to funnel more funds in for our investments. The last purpose is avoiding pattern day trader rules. In the US, accounts under $25,000 can be timed out of trades and locked for 90 days if they trade in and out too many times in a day/week. Swing trades avoid this problem.

3. Large Growth & Hype Sectors

Let's start with areas that a lot of people use to grow smaller capital. Hype sectors. Whether in cryptocurrencies, stay at home tech names after 2020 lows or Canadian cannabis sector circa 2017, we see cycles of hype creating large opportunities, and then large drawdowns. After experiencing the gains in these names, many people stay in them hoping that their 100%, 500%, 1000% percent return will become more. Now over time, holding names like AAPL and TSLA, that can certainly happen over the course of years, but then you also need to be willing to sit through the massive drawdowns. And the truth is, in hype sectors, most of those will almost never recover. (For cryptocurrency that is mostly referring to alt-coin projects that are largely market speculation.)



Now take the most recent case of META, NVDA, and TSLA. After large drawdowns, they each had a 100% move off the lows in a matter of a few short months. After such large moves, the most likely scenario will be a consolidation period of some time. Whether they drift up for another 10% or not will not have nearly as much impact on your account as the initial 100% move. So for a trader with a small account, holding for that extra 5% move through consolidation is an opportunity lost if instead there is an area to employ your capital for a 10%, 20%, or 30% move elsewhere. This is not to say we should constantly jump in and out from name to name, we have to be diligent and reasonable in order to capitalize on moves, but it is to say that once we have the meat of the move, growing a smaller account requires we be the T- Rex. That means we make our kill, take off the largest meat of a move we can, and then leave the last few percent for other scavengers while we go and stalk our next prey.

4. Risk Management

The next most important thing to consider in small accounts is risk management. Risk management comes in several forms. Since many traders using small accounts tend to try and look for large percent moving stocks, many can find themselves in names that are prone to halts. While most halts resolve themselves quickly, some can actually last for months, some never start trading again. There is still a risk in names dropping several percent overnight, and halting. Breaking up position sizes just like in larger accounts is still very important in order to minimize those risks. There is a tendency of traders with small accounts to use a large majority of their account in one trading vehicle which opens up this extreme risk to drawdown. One way around this is options, while inherently a harder vehicle to trade, with a maximum risk applied to it, and the ability to cover the position by turning it into a spread to avoid pattern day trading and settlement times, one method of risk management for swings could be to use a smaller portion of the account with options. Keep in mind that options most often go to zero, and having a stop loss on them is still important. It's also important to make sure the amount of risk you are taking dollar wise is the same. For a $2000 position in a stock, and a 5% stop loss, you are risking $100. That means for the same option position, you wouldn't want to risk more than $100 dollars either, with that same 5% stop loss on the stock price, that is not always possible. There is also a tendency to want to then use all the other capital in other trades, therefore increasing your risk. Options can quickly blow up accounts when used heavily, so while it is one option to mitigate some risks of overnight swings, if used unhealthily, this is the fastest way to actually lose money as well.

5. Build inside the market during hype or volatility cycles, then build outside the market during slow periods

Growing a small account requires outside help. What that means is that if you constantly have to take money out of the account in order to pay bills, you are decreasing your ability for compounding gains, adding to long term investments, and increasing your stress and dependency on those gains. Having an outside source of income to cover expenses so you can only focus on growing your account will be imperative. Staying in a trade for 100% move if you're worrying about needing to withdraw money will not be easy. Staying in a healthy trade while you are working and covering your bills is far easier. Having multiple sources of income, perhaps a job, a side business etc that will allow you to inject more money into your investments will be the fastest route towards growing your account. The faster you can diversify into longer term portfolios, bonds that actually make a dent in your payments etc, the faster you compound your money. Compounding is the number one thing that grows small accounts faster than anything else, barring a one-time bulk cash infusion.

6. Things to prepare for mentally

One of the things that happens when you grow a small account quickly, is that your risk-taking stays the same. The problem is, when you have a small account, of $200 or $2000 or $20,000 (whatever is small to you), and you grow it 100%, 200% or 500%, you continue to trade it the same afterwards. However, if one has a $2000 account, and they know they can find a job and make that relatively quickly, then trading it doesn't feel super risky. If you grow that into $20,000 however, and then are still trading it as aggressively to try to grow it to $200,000, a few quick losses taking those same risky trades will quickly wipe you out. It is at that point where small account traders typically fail.

The desire to make the growth stay exponential, when the risk, and the perceived ease of making that money is not the same. To make that same $18,000 again, you don't need to be as risky, that same $18,000 doesn't represent 1000% growth, it's only less than 50% growth. But if you trade it for 1000% growth, a few bad trades will quickly eat through the entire amount, wiping out months or years worth of gains in no time at all. The mental impact of that alone is crushing.

This is why scaling into your gains is so important. You have to grow your mindset with your account. The larger your account grows, the more you want to start treating it like a bigger account, with diversification and all the benefits that will give you in the long-term game. At the beginning you focus on percentage gains to maintain a healthy mindset since 20+% gains are huge, even though they might not represent a lot of dollars. Once the account starts growing, a shift in mindset from percentage to dollar, and then ultimately back to percent will help ease the transition from a very small risk taking account, to a larger and more diversified account that requires less percentage gains to achieve your trading and investing goals.

Finally, be patient and wait for the hype markets to present opportunities in your favour. In low volatility markets practice your strategies and concentrate on your trading education. Keeping up with education while the market is dull prepares you for when the larger moves come around, so that you can be prepared to make the most of them.

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